FRVO

FRVO N/A

Buy	$36.66 ▼ 5.27%	12M Price Target **$52.00**	52-Week Range $35.50 – $42.65	Market Cap $10.78B

FRVO: Reiterate Buy; Post-IPO Digestion Creates Entry Point

WHAT'S CHANGED

- FRVO -5.27% to $36.66 on elevated volume (2.8M), now sitting at just 16% of 52-week range and approaching the $35.50 post-IPO low — third down day in last four sessions despite Tech ETF +2.23%/+6.95% 5D.
- WSJ (5/25) flagged hot geothermal IPO tape and Barron's (5/18) on energy IPO winners; sentiment tailwinds not translating to price, suggesting lock-up overhang and post-42% IPO-pop profit-taking continue to dominate near-term flow.

IMPLICATIONS

The disconnect between constructive sector media coverage (WSJ, Barron's, IBD all positive on geothermal/AI-power thesis) and FRVO's slide toward IPO-floor pricing signals classic post-IPO digestion rather than thesis impairment — institutional ownership at only 18.3% indicates the long-duration holder base has not yet built. With AI hyperscaler power scarcity intensifying and Tech sector +6.95% over five days, FRVO's enhanced geothermal systems remain strategically positioned as a 24/7 firm clean power source for datacenter PPAs, but the stock needs a fundamental catalyst (PPA announcement, Cape Station milestone) to break the post-IPO downtrend. Near-term, expect range-bound trading $35-40 until lock-up dynamics clear and the next operational update.

VALUATION

At $10.78B market cap on ~$185M FY26E revenue, FRVO trades at ~58x EV/Revenue FY26E and ~32x FY27E — rich versus traditional IPPs but justified by 80%+ revenue CAGR trajectory and scarcity value as the only pure-play EGS public equity. Our $52 PT (~42% upside) applies 40x FY27E revenue, in line with high-growth energy-transition IPO comps; multiple expansion driver is a marquee hyperscaler PPA, contraction risk is drilling cost overruns at Cape Station.

KEY RISKS

- Execution risk on Cape Station (400MW) — drilling cost inflation or subsurface underperformance directly impairs LCOE narrative.
- Post-IPO lock-up expiration could create additional supply pressure over next 90-180 days.
- Hyperscaler PPA economics compressing as SMR, solar+storage, and gas peakers compete for the same datacenter load.

RECENT NEWS

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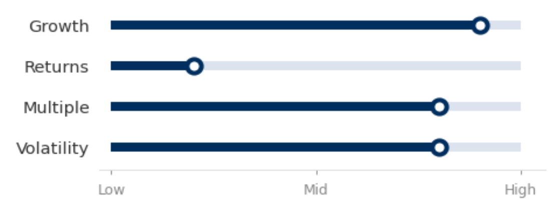
Energy IPOs Are Back. The Winners Have One Thing In Common. Barrons.com · 2026-05-18 09:55

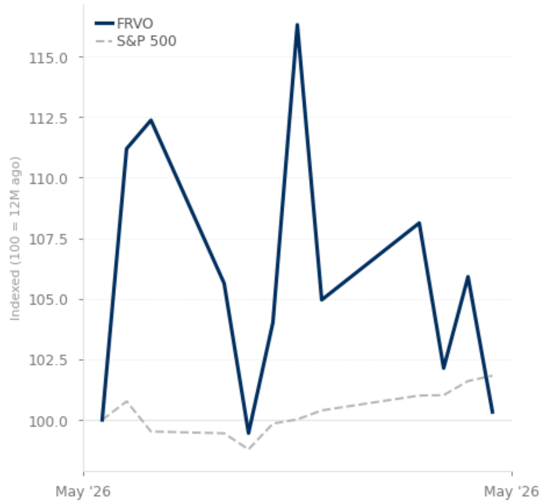
Key Data

Price (USD)	**$36.66**
12M Price Target	**$52.00**
Upside / (Downside)	**+41.8%**
Market Cap	**$10.78B**
FY2026E Revenue	**$185M**
FY2027E Revenue	**$340M**
FY2026E EPS	**($1.85)**
FY2027E EPS	**($1.20)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$44.00**	$39.00	**$33.00**
6 Months	**$55.00**	$46.00	**$30.00**
1 Year	**$68.00**	$52.00	**$28.00**
2 Years	**$95.00**	$70.00	**$25.00**
5 Years	**$160.00**	$100.00	**$22.00**
10 Years	**$300.00**	$175.00	**$18.00**

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Materials

COLD SECTORS: Utilities, Communication Services

ROTATION WATCH: Capital rotating into AI-infrastructure derivatives (power, cooling, materials) while traditional Utilities lag -1.29% 5D — favors FRVO's positioning as a "tech-adjacent utility" rather than a regulated IPP.

BYPRODUCT PLAY: Drilling services (oilfield equipment repurposed for EGS), specialty steel/casing suppliers, and grid-interconnect engineering firms benefit from geothermal capex cycle.

OUTPERFORMERS & PEER CONTEXT

- NVDA (NVIDIA): Tech ETF +6.95% 5D leadership reflects continued AI capex narrative — the demand pull for FRVO's clean firm power.
- VST (Vistra): Independent power producers with nuclear/firm-power exposure have re-rated on datacenter PPA news flow over past 12 months — the template for FRVO.

FRVO CONTEXT: FRVO is decisively lagging both its energy-IPO cohort highlighted in Barron's and the broader Tech-tied power-demand trade — relative weakness is technical/float-driven, not fundamental, creating asymmetric setup if a catalyst lands.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: $35-37 on continued post-IPO weakness

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station delays >6 months or loss of Google/hyperscaler PPA

Hedging: Pair against XLU long or short richer SMR/clean-energy peer